

total amount available is now ₹10,400 for the same number (1000) of shares. If these 'buy' orders are executed (which means there is a seller for those shares), the price of one share obviously becomes ₹10.40 (up from ₹ 10). The same holds true when sell orders are executed. When the price of the stock becomes too high, the company will occasionally decide to split the price of the stock to encourage trading liquidity.

As a long-term investor, you should not be too concerned with frequent fluctuations in share prices if you are sure that the company is earning well, making good profits and has strong fundamentals. Temporary fluctuations can occur because of innumerable and uncontrollable market factors.

Moreover, if you have invested for cash flow, then it actually does not matter if there are temporary fluctuations as long as the company is earning well and paying you regular dividends.

P/E ratio

The P/E ratio or the Price vs Earning ratio is essentially the ratio of the price per share vs the earning per share of the company. Earnings Per Share³⁷ are also termed as EPS. Generally, the higher the P/E ratio, the more expensive is the stock. Expensive stock means that the price is already high and we should be careful when investing in such a stock. P/E ratios are useful for comparison of companies in the same industry. If the average P/E ratio of most of the companies in a particular industry is around 18 and the company you are interested in investing in has a P/E ratio of around 21, it essentially means that the said stock is expensive and the market is expecting the company to have significantly higher earnings and has already built in the expectations in the stock price. This does not mean that the said stock is a bad investment; it only tells that you can go ahead and invest but you are paying a premium price to do so.

A P/E ratio of 21 essentially means that the price per share is 21 times the earnings per share.

Remember that a stock's P/E ratio is just one of the numerous factors (though a very important one) which can help you guide on a buying